twist: no commodity group in the index starts at over 33 percent (energy), and no single group component may be more than 15 percent (such as crude oil). The DJ-UBS is reweighted and rebalanced annually, with restrictions.

The difference in the three approaches to commodities indexes is explained in Table 10-1, which indicates the relative importance of different commodity groups in each of the three indexes.

Despite the differences in the group weights, the returns on the three commodity indexes have high correlation with one another and low correlations with U.S. equities and bonds. Table 10-2 highlights the performance of the three popular methodologies from 2000 to 2009. The difference in return is based on the allocation of commodity sectors and the investment strategy that revolves around rebalancing the indexes.

TABLE 10-1

Commodity Index Weights in 2009

Commodity Group	Reuters-CRB Weight	S&P GSCI Weight	DJ-UBS Weight
Energy	18%	70%	33%
Grains	17%	9%	21%
Softs (sugar, cocoa)	23%	4%	9%
Base metals	12%	9%	18%
Precious metals	18%	3%	8%
Livestock	12%	5%	11%

TABLE 10-2

Commodities Total Return Index Statistics